HALBROOK ENERGY — ANNUAL FINANCIAL DISCLOSURE (EXCERPT)

Excerpt from the annual financial disclosure of Halbrook Energy, prepared at the request of the Office of the Attorney General of the State of Arden. Figures are for the most recent completed financial year and are stated in millions of United States dollars.

1. Business and organisation

Halbrook Energy is a publicly traded company organised under the laws of Texas. It employs approximately 30,871 persons across 7 states and reports through the segments set out below. The company's registered agent in Arden is Arden Agent Services, Inc..

2. Revenue by segment

Segment	Revenue ($M)	Share of total (%)	Fossil Fuel Products segment
Exploration and production	59,280	30.2	yes
Fuels and lubricants	92,720	47.3	yes
Petrochemicals	24,200	12.3	no
Power trading	13,640	7.0	no
Corporate	6,160	3.1	no
Total revenue	196,000	100.0	

Revenue from sales of Fossil Fuel Products, as that term is defined in the Climate Resilience Funding Act, comprises the segments marked above and totalled $152,000M for the year. Revenue from all segments totalled $196,000M. In the preceding year the corresponding proportion was 71.4%.

3. Capital expenditure and depreciation

Capital expenditure was $10,190.4M, of which 41.9% was directed to maintenance of existing assets. Depreciation, depletion and amortisation was $7,471.5M. The company recorded an impairment of $700.2M in respect of legacy metering assets.

4. Commodity price risk and hedging

The company hedged approximately 56.9% of anticipated production or purchase volumes for the coming year. The notional value of open derivative positions at year end was $10,158.2M. A hypothetical ten per cent adverse movement in benchmark prices would have reduced pre-tax earnings by $3,129.8M.

5. Workforce, safety and environmental compliance

The recordable injury rate was 1.2 per two hundred thousand hours worked. The company reported 7 notices of violation across all jurisdictions and paid civil penalties of $1.9M. Voluntary turnover was 12.5%.

6. Legal proceedings

The company is party to 7 proceedings arising in the ordinary course of business. Management does not consider any of them, individually or in the aggregate, likely to have a material adverse effect. Amounts accrued in respect of loss contingencies were $343.1M.

7. Revenue by geography

Revenue is attributed to the jurisdiction in which title passes. 70.8% of revenue arose in the company's three largest states of operation. Arden accounted for 0.26% of revenue. No single customer accounted for more than 14.4% of revenue. The company holds operating permits in 8 states and one federal offshore lease area.

Region	Revenue ($M)	Share of total (%)	Employees
Gulf and south central	42,199.1	27.1	8,831
Mid-Atlantic and north east	31,991.2	21.9	5,461
Midwest	32,980.8	11.3	2,195
West and mountain	29,715.5	9.1	2,857
All other, including Arden	11,951.8	8.5	3,283

Regional figures are management's allocation and are rounded; they are not a segment disclosure and do not sum to total revenue.

8. Contractual commitments and off-balance-sheet arrangements

Purchase obligations under take-or-pay and transportation contracts were $44,494.5M, of which $8,008.6M falls due within one year. Operating lease commitments were $4,250.0M. The company has issued surety bonds and letters of credit of $1,558.4M, principally in respect of decommissioning and of state fuel tax obligations. There are no off-balance-sheet financing arrangements other than those described.

9. Income taxes

The effective rate was 20.6%, against a statutory federal rate of 21%. The principal reconciling items were state taxes net of federal benefit (4.7 points), depletion allowances (7.7 points adverse to the reconciliation), and the resolution of an examination for years 2016 to 2020. Unrecognised tax benefits were $737.9M. The company is under examination in 7 states; Arden is not among them.

10. Related-party transactions

Sales to entities in which a director or officer holds an interest of ten per cent or more were $155.0M, on terms management believes to be no less favourable than those available from unrelated parties. The company leases office space from a partnership in which two officers hold interests.

11. Critical accounting estimates

The estimates management considers critical are the recognition of revenue on contracts with variable consideration, the assessment of asset retirement obligations (discount rate 5.1%, expected settlement over 32 years), the recoverability of long-lived assets, and the valuation of open derivative positions where quoted prices are not available. A ten per cent change in the discount rate applied to retirement obligations would change the recorded liability by $334.4M.

12. Five-year selected financial data

	Year 1	Year 2	Year 3	Year 4	Year 5 (current)
Total revenue ($M)	153,658.7	162,776.8	167,449.4	165,784.5	196,000
Revenue from Fossil Fuel Products ($M)	136,000.6	127,539.7	118,498.3	118,389.6	152,000
Capital expenditure ($M)	9,585.6	10,531.2	10,101.1	11,429.1	10,190.4
Employees (000)	28.8	28.3	29.2	29.8	28.7

Prior-year figures are as previously reported and have not been restated. The proportion of revenue derived from Fossil Fuel Products may be computed from the two revenue lines; the proportion for the current year is stated in section 2 above.

13. Subsequent events

On 17 August the company entered into a five-year transportation agreement for consideration of $358.5M. Management has evaluated events through the date of this disclosure and is not aware of any other matter requiring adjustment or disclosure.

14. Distributions

Distributions to holders were $6,429.6M, representing 36.4% of distributable cash flow. The board has not adopted a fixed distribution policy.

Prepared for the purposes of the constitutional review only. Not filed with any securities regulator and not audited as presented.